COMMOHEDGE

Commodity hedging and intelligence terminal

TREASURY / PROCUREMENT MEMO

Wheat purchase hedge

H1 2026 · CBOT Soft Red Winter

Decision date 30 June 2025

Purchase window January – June 2026

Case Northbridge Bakery Group (fictional)

ILLUSTRATIVE ANONYMIZED CASE

Not a real company. Volumes are industry-scaled fiction. CBOT prices are public data. Not investment advice.

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Executive snapshot

If a mid-size soft-wheat flour buyer had sized H1 2026 hedges on 30 June 2025, how would the purchase bill compare with buying unhedged at CBOT SRW averages?

FORWARD STRIP 50%	CALL 105% 50%	COLLAR 95/105 50%	ZERO-COST 50%
$9k	**-$164k**	**-$89k**	**-$70k**

Hedge benefit = cost with hedge minus unhedged cost. Green = hedge improved the bill. On this path the forward strip edged ahead; long-dated option premiums from June 2025 outweighed sparse call payoffs.

BENCHMARK
CBOT Soft Red Winter (ZW)

MONTHLY VOLUME
153,099 bu

STRIP AVERAGE (REF)
$5.7944/bu

CALL / PUT STRIKES
$6.0841/bu / $5.5047/bu

HIST. VOL (H1 MOVES)
21.2%

COVERAGE MATRIX
0% · 25% · 50% · 75% · 100%

1. Why a flour buyer hedges wheat

A bakery that buys soft-wheat flour carries CBOT SRW risk whenever mill quotes track Chicago. Between budget season and delivery, the curve can move enough to erase a thin manufacturing margin.

The question on 30 June 2025 was not "will wheat go up?" It was: how much of H1 2026 purchases to lock, insure, or leave open — and at what cost?

SCOPE OF THIS MEMO
Hedging the CBOT SRW leg only. Local flour basis and milling margin are residual risks, stated but not modeled.

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2. Profile and volumes (fictional)

Northbridge Bakery Group stands in for a Midwest commercial bakery that buys soft-wheat flour. Soft Red Winter is the Chicago contract for cake, cookie and pastry flour — not durum.

COMPANY
Northbridge Bakery Group (illustrative)

SECTOR
Commercial bakery / soft-wheat flour

ANNUAL WHEAT-EQ.
50,000 tonnes

ANNUAL BUSHELS
1,837,188 bu

MONTHLY PURCHASE
153,099 bu

BASIS TREATMENT
Not modeled (residual risk)

VOLUME NOTE
Fictional scale (~50 kt wheat-eq/year) consistent with mid-size US commercial bakery flour usage ranges — not from any company filing.

3. June 2025 decision — forward strip

On 30 June 2025 the front CBOT SRW continuous settle was 528.75 c/bu. Dec'26 settled at 624.50 c/bu (Yahoo Finance). Free feeds lacked clean Mar/May/Jul'26 history, so the H1 strip is a linear interpolation between those anchors — a decision process, not a dealer quote sheet.

Month	Forward (Jun-2025)	Realized H1-2026	Gap (USD/bu)
Jan	$5.6536/bu	$5.1849/bu	**-0.4687**
Feb	$5.7099/bu	$5.4880/bu	**-0.2219**
Mar	$5.7663/bu	$5.9512/bu	**+0.1849**
Apr	$5.8226/bu	$6.0139/bu	**+0.1913**
May	$5.8789/bu	$6.3496/bu	**+0.4707**
Jun	$5.9352/bu	$5.8961/bu	**-0.0391**

HOW TO READ THE GAP
Positive = market finished above the June forward (buyer swap helped). Negative = market cheaper than the lock (swap opportunity cost).

Option reference = strip average $5.7944/bu. Call 105% = $6.0841/bu. Collar put 95% = $5.5047/bu.

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4. Strategies compared

All three option structures share the same call strike (105% of the June strip average). Only the put leg changes — so the comparison is fair.

Forward strip

Lock each month at the June 2025 forward. No option premium. Miss cheaper market on hedged share.

Call 105%

Same upside strike for all option books. Pay premium; keep downside if wheat falls.

Collar 95/105

Buy the 105% call, sell a fixed 95% put. Lower net premium; put can pay if prices drop.

Zero-cost collar

Same 105% call. Put strike solved monthly so premiums cancel. Put usually tighter than 95%.

Strategy	Upfront cost	If prices fall hard
Forward strip	None (futures margin)	Miss cheaper market on hedged %
Call 105%	Full call premium	Lose premium only
Collar 95%/105%	Net premium (lower)	Owe put below 95%
Zero-cost collar	~0 net premium	Put usually tighter than 95%

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5. Results at 50% coverage

Hedged volume each month: 76,550 bu (half of 153,099).

UNHEDGED H1 COST	BEST STRUCTURE (50%)	CALL PREMIUMS PAID	CALL PAYOFFS RECV.
-$5.34M	**Forward**	**$184k**	**$20k**

Metric	H1 total
Unhedged wheat cost	-$5,340,661
Benefit — Forward strip 50%	$8,974
Benefit — Call 105% 50%	-$164,081
Benefit — Collar 95/105 50%	-$89,202
Benefit — Zero-cost collar 50%	-$70,243
Call premiums paid	$184,403
Call payoffs received	$20,321
Collar 95/105 net premiums	$83,766
Collar 95/105 net payoffs	-$5,436
ZC collar net premiums (~0)	$0
ZC collar net payoffs	-$70,243

Month-by-month hedge benefit (50%)

Month	Market	Forward	Swap	Call105	95/105	ZC
Jan	$5.1849/bu	$5.6536/bu	-$36k	-$24k	-$35k	-$50k
Feb	$5.4880/bu	$5.7099/bu	-$17k	-$27k	-$13k	-$30k
Mar	$5.9512/bu	$5.7663/bu	$14k	-$30k	-$13k	$0
Apr	$6.0139/bu	$5.8226/bu	$15k	-$32k	-$15k	-$0
May	$6.3496/bu	$5.8789/bu	$36k	-$14k	$4k	$20k
Jun	$5.8961/bu	$5.9352/bu	-$3k	-$37k	-$18k	-$11k

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6. Coverage matrix

Same structures; only the share of monthly volume hedged changes. On this path, benefit scales roughly with coverage.

Hedge benefit by coverage

Strategy	0%	25%	50%	75%	100%
Forward strip	$0	$4k	$9k	$13k	$18k
Call 105%	$0	-$82k	-$164k	-$246k	-$328k
Collar 95%/105%	$0	-$45k	-$89k	-$134k	-$178k
Zero-cost collar	$0	-$35k	-$70k	-$105k	-$140k

Option premiums paid

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$92k	$184k	$277k	$369k
Collar 95%/105%	$0	$42k	$84k	$126k	$168k
Zero-cost collar	$0	$0	$0	$0	$0

Option payoffs received

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$10k	$20k	$30k	$41k
Collar 95%/105%	$0	-$3k	-$5k	-$8k	-$11k
Zero-cost collar	$0	-$35k	-$70k	-$105k	-$140k

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7. Zero-cost collar — put by month

Call fixed at 105% of the June strip average. For each maturity priced on 30 Jun 2025, the put strike is solved so put premium = call premium. Net "H 0. The put moves because time to expiry changes

Month	Market	Call	Put ZC	% ref	Call prem	Put prem	Net
Jan	$5.1849/bu	$6.0841/bu	$5.8352/bu	100.7%	0.3200	0.3200	0.000000
Feb	$5.4880/bu	$6.0841/bu	$5.8741/bu	101.4%	0.3522	0.3522	0.000000
Mar	$5.9512/bu	$6.0841/bu	$5.9171/bu	102.1%	0.3865	0.3865	-0.000000
Apr	$6.0139/bu	$6.0841/bu	$5.9586/bu	102.8%	0.4186	0.4186	0.000000
May	$6.3496/bu	$6.0841/bu	$6.0014/bu	103.6%	0.4507	0.4507	0.000000
Jun	$5.8961/bu	$6.0841/bu	$6.0428/bu	104.3%	0.4809	0.4809	-0.000000

WHY THE PUT CHANGES

January options had ~7 months left from the decision date; June options had ~12. Different time = different put strike that clears the call premium.

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8. CommoHedge workflow

The example is about process, not a single winning trade.

- Capture exposure — monthly wheat volume, unit, currency, purchase window.
- Price the curve — CBOT SRW forwards as of the decision date.
- Build structures — swap, call, collar, zero-cost with shared strikes.
- Stress coverage — 0–100% matrix for a policy band.
- Explain P&L — premium, payoff and hedge benefit, separately.

PRODUCT FIT

CommoHedge Strategy Builder and Zero-Cost Strategies use the same Black-76 engine. Treasury can reproduce the collar solve, change coverage, and export a board-ready view without rebuilding spreadsheets each quarter.

9. Limits and residual risks

- Flour vs futures: physical flour includes milling and basis; this memo hedges the CBOT SRW leg only.
- Strip construction: H1 deferreds interpolated from front and Dec'26 when free H/K/N26 history was unavailable.
- Options priced once on 30 Jun 2025 for each maturity; no dynamic rebalancing.
- No credit, margin or liquidity costs modeled.
- Volumes are illustrative — not from any company disclosure.

Sources: Yahoo Finance CBOT SRW (ZW=F daily; ZWZ26.CBT 30 Jun 2025 settle). Pricing: CommoHedge Black-76 / Zero-Cost Strategies.

10. Bottom line

On this path the forward strip at 50% coverage delivered a hedge benefit of $9k. Call 105% and the collars share the same upside strike; they differ by premium paid and put obligation. Coverage (25–75%) usually matters as much as structure.

Use the matrix to set a policy.

Use CommoHedge to price and compare before the curve moves again.

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